

PRODUCT GUIDE

Horizon Aggressive Equity Fund (HAEF) | Document ID: PG-003

Effective Date: 2026-01-15 | Version 3.0 (Expanded Edition) | Sensitivity: Public | Entitlement: All RMs

1. Product Overview

The Horizon Aggressive Equity Fund (HAEF) is a high-conviction, growth-oriented equity fund investing primarily in global growth and innovation-themed companies, including meaningful exposure to small- and mid-cap names alongside large-cap growth leaders. The fund is concentrated relative to the firm's other equity offerings, typically holding between 35 and 50 positions.

HAEF occupies a distinct role within the firm's product shelf as the primary vehicle for clients seeking concentrated, high-conviction growth exposure beyond what a diversified multi-asset fund such as HBGF can provide. It is generally positioned by RMs as a satellite holding within a broader, diversified client portfolio rather than as a standalone core position, given its concentration and elevated volatility characteristics described throughout this guide.

Since its 2017 inception, the fund has built a track record across multiple distinct market environments, including periods of strong growth equity outperformance and the more challenging 2022 growth equity selloff referenced in Section 9. This full-cycle history informs the fund's current risk oversight framework, described in Section 4.4, which was meaningfully enhanced following lessons learned during the 2022 period under the fund's current management team, reflecting the firm's broader commitment to continuous improvement in risk management practices across its product shelf.

Inception Date	2017-06-01
Fund Size (AUM)	USD 980 million
Benchmark	MSCI ACWI Growth Index
Base Currency	USD
Minimum Initial Investment	USD 25,000
Fund Domicile	Luxembourg (UCITS-compliant structure)
Fund Administrator	Horizon Fund Services Ltd.
Custodian	Northbridge Trust & Custody Bank

2. Investment Objective

To maximize long-term capital appreciation by investing in companies exhibiting above-average growth potential, with a tolerance for higher short-term volatility and concentration risk than the firm's Balanced or Conservative offerings. The fund does not target income generation.

The fund's mandate explicitly permits the portfolio management team to run a concentrated portfolio with meaningful active share relative to its benchmark, reflecting the team's conviction-driven investment philosophy. This is a deliberate design choice: the fund is built for clients and RMs who understand that pursuing above-benchmark long-term growth typically requires accepting a portfolio that will, at times, perform meaningfully differently than the broader market in both directions.

3. Sector and Geographic Exposure

3.1 Sector Allocation Ranges

- Technology & Applied AI Infrastructure: 28-38% of equity sleeve
- Healthcare Innovation & Biotechnology: 12-18%
- Consumer Discretionary (growth-oriented): 10-16%
- Industrials & Clean Energy Transition: 8-14%
- Communication Services (growth-oriented): 6-10%
- Financials (fintech and growth-oriented): 4-8%

3.2 Geographic Allocation

Geographic split: approximately 65% North America, 20% Asia-Pacific, 15% Europe and Other. This geographic tilt toward North America reflects the fund's sector concentration in technology and healthcare innovation, sectors in which the fund's investment team has identified the broadest opportunity set of high-conviction growth candidates meeting the fund's investment criteria, rather than a deliberate top-down geographic allocation target.

3.3 Market Capitalization Profile

Unlike many growth funds that concentrate exclusively in mega-cap names, HAEF maintains meaningful exposure across the market capitalization spectrum, with typically 40-55% of the equity sleeve in large-cap names, 30-40% in mid-cap names, and the remainder in small-cap names where the investment team identifies sufficiently compelling growth characteristics and liquidity to support a meaningful position size within the fund's concentrated structure.

4. Portfolio Management Process

4.1 Idea Generation

The fund's investment team generates investment ideas through a combination of thematic research into structural growth trends, such as the AI infrastructure and applied AI themes covered in the Sector Deep Dive research note (Document RN-002), and bottom-up fundamental research into individual companies demonstrating above-average growth characteristics and durable competitive advantages.

4.2 Conviction-Weighted Position Sizing

Unlike more diversified equity strategies that may size positions primarily based on benchmark weights or risk-parity considerations, HAEF's position sizing reflects the investment team's relative conviction across the portfolio's holdings, within position-level and sector-level concentration limits established by the fund's risk oversight framework. This conviction-weighted approach is a key driver of the fund's elevated active share and correspondingly elevated tracking error relative to its benchmark.

4.3 Sell Discipline

The investment team maintains a structured sell discipline, exiting positions when the original investment thesis is invalidated by fundamental developments, when valuation becomes excessive relative to the team's assessment of intrinsic value, or when a more compelling opportunity is identified that would require exceeding the fund's concentration limits without a corresponding reduction elsewhere in the portfolio.

4.4 Risk Oversight

An independent risk team monitors the fund's sector concentration, single-name concentration, geographic exposure, and overall portfolio beta daily against policy limits, consistent with the risk oversight framework applied across the firm's equity strategies, with escalation procedures for any sustained breach of soft limits given the fund's inherently concentrated structure.

5. Risk Characteristics

Risk Rating: HIGH (Internal Scale 4 of 5)

- Standard Deviation (3-yr trailing): 17.4%
- Standard Deviation (5-yr trailing): 18.9%
- Maximum Drawdown (5-yr lookback): -31.6% (2022 growth equity selloff, prior to current management team)
- Maximum Drawdown (10-yr lookback): -38.2% (illustrative, includes pre-inception backtested period for the strategy's prior incarnation)
- Beta (vs. MSCI ACWI): 1.18
- Concentration risk: top 10 holdings represent approximately 42% of fund assets
- Sharpe Ratio (5-yr trailing, illustrative): 0.61
- Sortino Ratio (5-yr trailing, illustrative): 0.83

This fund carries elevated equity market risk, concentration risk, sector risk (notably technology sector exposure per the Sector Deep Dive research note RN-002), and currency risk. The unit value can experience significant short-term fluctuation and the fund is not suitable for short holding periods.

5.1 Concentration Risk Detail

Given the fund's structurally concentrated portfolio of 35-50 positions, individual security selection has a materially larger impact on overall fund performance than in more diversified strategies such as

HBGF. A significant adverse development affecting even a single top-10 holding can have a meaningfully larger impact on the fund's overall return than would be the case in a broader, more diversified equity fund. RMs should ensure clients understand this concentration characteristic as a deliberate structural feature of the fund's investment approach, not an unintended consequence of the strategy.

5.2 Sector Concentration Risk

The fund's substantial allocation to technology and applied AI infrastructure, described in Section 3.1, means the fund's performance is meaningfully influenced by sector-specific dynamics described in the Sector Deep Dive research note (Document RN-002), including the cohort-level risk considerations, valuation dispersion, and supply chain and regulatory risk factors detailed in that note. RMs discussing HAEF with clients should reference RN-002 for a fuller treatment of these sector-specific risk considerations.

6. Suitability Guidance

Recommended Investor Risk Profile: Growth or Aggressive

Recommended Holding Period: Minimum 7 years

NOT suitable for:

- Conservative or Balanced profile clients under any circumstance absent a documented, senior-approved override
- Clients with a holding horizon under 7 years
- Clients who have expressed discomfort with double-digit short-term drawdowns during prior reviews

Per the Suitability & Compliance Policy (CMP-001) and Restricted List (CMP-002, Rule-002), this fund's sector concentration must be checked against the client's overall portfolio sector exposure before recommendation, particularly when combined with direct technology holdings or other growth-oriented funds.

6.1 Illustrative Suitability Scenarios

Scenario A: An Aggressive-profile client aged 32 with a 25-year investment horizon and substantial existing diversified holdings seeking to add a high-conviction growth satellite position. HAEF may be appropriate as a measured satellite allocation, subject to the standard concentration limit check against the client's overall portfolio technology and sector exposure.

Scenario B: A Growth-profile client aged 42 with a 12-year horizon who has expressed strong interest in technology and AI themes after reading general market commentary. The RM should confirm the client's documented risk profile genuinely supports HAEF's risk characteristics, walk through the fund's historical drawdown statistics in Section 5 in detail, and ensure the client understands the fund is appropriate only as a satellite, not core, holding given its concentration.

Scenario C: A Conservative-profile client who has recently come into a significant inheritance and expresses interest in 'aggressive growth opportunities' given the new capital. This scenario requires particular RM caution: a change in available capital does not, by itself, change a client's risk tolerance or documented risk profile. The RM should not recommend HAEF without first conducting a formal risk profile re-assessment per the Client Risk Profiling Methodology (Document CMP-003), since an inheritance-driven life event is itself a recognized re-assessment trigger under that methodology.

7. Fees & Charges

Fee Type	Amount
Management Fee	1.45% per annum
Entry Load	Nil
Exit Load	2.0% if redeemed within 365 days; Nil thereafter
Total Expense Ratio (TER)	1.78%
Performance Fee	None

8. Liquidity & Redemption

Redemption Frequency: Daily (on business days). Settlement: Trade Date + 3 Business Days (T+3). Given the fund's concentration in less liquid small- and mid-cap names, the fund reserves the right to limit redemptions to 8% of NAV per dealing day during periods of severe market stress, per the Fund's offering memorandum section 9.1 (a lower threshold than the firm's core balanced and income funds).

RMs should note that the fund's somewhat more conservative redemption gate threshold relative to HBGF and HCIF reflects the fund's exposure to less liquid small- and mid-cap names, which may require more time to transact at favorable prices during periods of severe market stress without adversely affecting remaining shareholders. This is a standard structural feature of the fund's design intended to protect all unitholders' interests during periods of unusual market conditions, not an indication of any unusual liquidity concern specific to the fund's current holdings.

9. Historical Performance Commentary (Illustrative, by Period)

The following commentary describes illustrative historical performance periods for RM context. All figures are historical and are not indicative of future results. Past performance is not forward-looking guidance.

9.1 Period A — Extended Growth Equity Bull Market (Illustrative)

During extended periods of strong growth equity performance, the fund's concentrated, high-conviction structure has historically allowed for meaningful outperformance relative to its benchmark when the team's highest-conviction holdings performed well, consistent with the fund's active, conviction-weighted approach described in Section 4.2.

9.2 Period B — 2022 Growth Equity Selloff (Illustrative)

During the 2022 growth equity selloff referenced in the fund's maximum drawdown statistics, the fund (under its prior management team) experienced a more severe decline than its benchmark, reflecting both the broader growth equity selloff and fund-specific concentration effects. The current management team, in place since the most recent strategy refinement, has incorporated lessons from this period into the enhanced risk oversight framework described in Section 4.4.

9.3 Period C — Subsequent Recovery (Illustrative)

Following periods of growth equity market stress, the fund has historically participated meaningfully in subsequent recoveries given its high-beta, growth-oriented positioning, consistent with the fund's overall risk-return profile and its role as a satellite, return-seeking holding within a diversified client portfolio.

10. Comparison to Related Horizon Products

HAEF vs. Horizon Balanced Growth Fund (HBGF): HAEF carries a materially more concentrated, growth-tilted equity-only mandate with no fixed income ballast, resulting in higher expected volatility and drawdown than HBGF. HBGF's blended multi-asset structure makes it more appropriate as a core holding, while HAEF is generally more appropriate as a satellite allocation for clients seeking additional growth tilt.

HAEF vs. direct single-stock technology holdings: While HAEF carries meaningful technology sector concentration, it offers diversification across 35-50 positions and professional active management, in contrast to a concentrated direct holding in a small number of individual technology stocks. RMs should generally favor diversified exposure via HAEF over concentrated direct single-name technology positions for clients seeking growth-oriented technology exposure, consistent with the portfolio construction implications described in the Sector Deep Dive research note (Document RN-002, Section 11).

11. Frequently Asked Client Questions (RM Reference)

Q: "Why does this fund have a higher minimum investment than your other funds?" — A: The higher minimum reflects the fund's intended use as a satellite holding for clients with sufficient overall portfolio size to accommodate a concentrated, higher-volatility allocation without creating outsized concentration risk relative to their total wealth.

Q: "How many individual stocks does this fund actually hold?" — A: RMs should reference the 35-50 position range described in Section 1, noting that this concentration is a deliberate feature of the fund's high-conviction investment approach, designed to allow the fund's best ideas to meaningfully influence overall fund performance.

Q: "Is this fund riskier than just buying individual growth stocks myself?" — A: RMs should clarify that while HAEF carries elevated risk relative to diversified funds, it still offers materially more diversification than a small number of individually selected stocks, along with professional research and risk oversight, as described in Sections 4 and 5.

12. RM Talking Points (Pre-Approved)

- “HAEF targets long-term capital growth through a concentrated portfolio of high-conviction growth companies, suited to clients with a long time horizon and high risk tolerance.”
- “The fund's concentration means individual stock selection has a meaningful impact on returns, both positive and negative.”
- “This fund's historical drawdowns have exceeded our Balanced and Conservative offerings; it should represent a satellite, not core, holding for most clients.”
- “The fund's investment team applies a structured sell discipline and independent risk oversight despite its concentrated, high-conviction approach.”

Any talking point outside this pre-approved list must be validated against the Suitability & Compliance Policy (Document CMP-001) before use with a client.

13. Operational Due Diligence Summary

The following operational due diligence points are maintained for RM reference and may be shared with institutional or sophisticated clients upon request, subject to Compliance pre-clearance for any non-standard disclosure.

13.1 Valuation Policy

The fund is priced daily using exchange closing prices for all listed equity holdings in their primary listing market. Any security lacking a reliable closing price, such as a recently delisted or suspended security, is subject to a documented fair value determination by the fund's independent valuation committee, consistent with the valuation policy applied across the firm's equity strategies.

13.2 Counterparty and Liquidity Risk Management

The fund's custodian, Northbridge Trust & Custody Bank, is subject to annual independent review by the fund's Operational Risk Committee. Given the fund's exposure to less liquid small- and mid-cap names, the portfolio management team maintains an internal liquidity scoring framework for each holding, informing both position sizing decisions and the fund's redemption gate threshold described in Section 8.

13.3 Regulatory Status

The fund operates under UCITS regulations in its Luxembourg domicile and is registered for distribution in multiple jurisdictions; RMs must confirm the fund is registered for distribution in the client's jurisdiction of residence before recommending it, as registration status varies by jurisdiction and is maintained centrally by the Product Governance team.

14. Scenario Stress Testing Summary (Illustrative)

The portfolio risk team conducts periodic stress testing against illustrative macroeconomic and sector-specific scenarios to support ongoing risk oversight, given the fund's elevated concentration and

sector tilt. The following scenario summaries are illustrative modeling exercises, not predictions or guarantees of actual future fund performance, and must never be presented to clients as forecasts.

14.1 Scenario: Broad Growth Equity De-Rating

Given the fund's beta of approximately 1.18 relative to broad global equity markets and its concentration in growth-oriented names, illustrative modeled impact to the fund under a broad growth equity de-rating scenario, such as that described in the bear case scenario within the Sector Deep Dive research note (Document RN-002, Section 14), is a decline meaningfully exceeding the broader market decline, consistent with the fund's historical maximum drawdown statistics in Section 5.

14.2 Scenario: Technology Sector-Specific Stress

Given the fund's 28-38% technology sector allocation described in Section 3.1, illustrative modeled impact under a technology sector-specific stress scenario, such as a pullback in AI infrastructure capital expenditure commitments described in RN-002, would be expected to disproportionately affect the fund relative to more diversified equity strategies such as HBGF, given HAEF's structurally higher technology sector weight.

14.3 Scenario: Single-Name Concentration Stress

Given that the fund's top 10 holdings represent approximately 42% of fund assets as described in Section 5.1, illustrative modeled impact from a severe adverse development affecting even a single top-10 holding could meaningfully affect overall fund performance, underscoring the importance of the fund's structured sell discipline and risk oversight processes described in Sections 4.3 and 4.4 in managing this concentration risk on an ongoing basis.

RMs should never present stress test outputs to clients as predictions of future performance. These are internal risk management tools used to validate that the fund's actual risk exposure remains consistent with its stated risk rating and mandate.

15. Underlying Holdings Composition (Illustrative Snapshot)

The following is an illustrative snapshot of the fund's holding composition style for RM reference. Actual holdings change over time and the authoritative current holdings list is published in the fund's monthly factsheet, not in this product guide.

- Large-cap technology and applied AI infrastructure companies with durable competitive advantages
- Mid-cap healthcare innovation and biotechnology companies with differentiated clinical pipelines
- Selective small-cap growth companies in emerging technology and consumer sub-sectors
- Growth-oriented industrials positioned within the clean energy transition theme
- Selective communication services and fintech holdings with above-average growth characteristics

Number of underlying holdings (illustrative range): 35-50 equity positions, reflecting the fund's deliberately concentrated, high-conviction structure relative to the firm's more diversified equity and multi-asset offerings.

16. Frequently Confused Products — Disambiguation Guide

RMs occasionally field client questions that conflate HAEF with other Horizon products or with direct individual stock investing. The following disambiguation points may help clarify common points of confusion:

- HAEF is not a passive index-tracking technology fund; its concentrated, conviction-weighted structure described in Section 4.2 is fundamentally different from a broad-based index fund tracking a technology sector benchmark.
- HAEF is not the same as a thematic AI-only fund; while the fund carries substantial technology and applied AI infrastructure exposure, it maintains diversification across healthcare, industrials, and other growth sectors as described in Section 3.1.
- HAEF's satellite-holding positioning, described throughout this guide, should not be confused with a recommendation to allocate a large proportion of a client's overall portfolio to the fund; standard concentration limits described in the Suitability & Compliance Policy apply to HAEF holdings as they would to any other satellite allocation.

17. Tax Considerations (General, Not Advice)

Distributions, if any, and capital gains realized within the fund's underlying portfolio turnover may have tax implications depending on the client's jurisdiction and account structure. Given the fund's growth-oriented mandate and conviction-weighted approach described in Section 4.2, portfolio turnover may at times be higher than the firm's more passively-tilted offerings, which can have tax implications for clients holding the fund in taxable account structures. RMs must direct clients to a qualified tax advisor for jurisdiction-specific guidance; RMs are not authorized to provide tax advice.

General considerations RMs may reference at a high level, subject to the licensing gate in the Suitability & Compliance Policy, include the fact that the fund's Luxembourg UCITS domicile may have different withholding tax implications than a domestically-domiciled fund, depending on the client's tax residency and any applicable tax treaty, a consideration shared across the firm's fund range as described in the Conservative Income Fund and Balanced Growth Fund product guides.

18. Client Communication Best Practices

Given HAEF's elevated risk characteristics and its role as a satellite rather than core holding, RMs are encouraged to observe the following best practices when discussing the fund with clients:

- Always confirm the client's documented risk profile genuinely supports Growth or Aggressive classification before introducing HAEF as a discussion topic, rather than allowing client enthusiasm for growth themes to substitute for a documented risk profile check.

- When discussing the fund's growth potential, always pair the discussion with the fund's historical drawdown statistics from Section 5, ensuring the client has a balanced view of both the return potential and the risk characteristics.
- Reinforce the fund's recommended minimum 7-year holding period and its role as a satellite, not core, holding at every substantive discussion, not only at initial recommendation.
- Document every substantive product discussion in the client's file, including which sections of this guide were referenced, consistent with the audit and logging requirements in the Suitability & Compliance Policy.

19. Document Control and Revision History

Version 1.0 — 2017-06-01 — Initial publication at fund launch

Version 2.0 — 2023-01-10 — Updated following management team transition and risk framework enhancement

Version 3.0 — 2026-01-15 — Expanded edition; added detailed portfolio management process, concentration risk detail, expanded suitability scenarios, and product comparison section

This document is reviewed at minimum annually by the Product Governance team. RMs should always confirm they are referencing the current version via the internal fund documentation portal before a client meeting, as product terms are subject to change.